

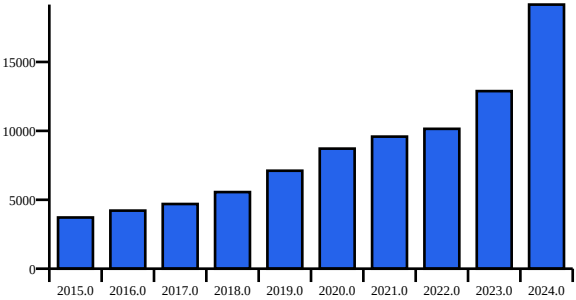
Cholamandalam Investment & Finance Company Ltd

CHOLAFIN | Financials

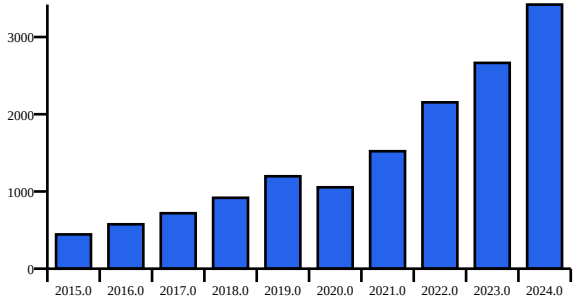
Revenue 19,163	Net Profit 3,420	ROE N/A
ROCE N/A	Debt / Equity N/A	CFO Quality -6.20

10-Year Financial Performance

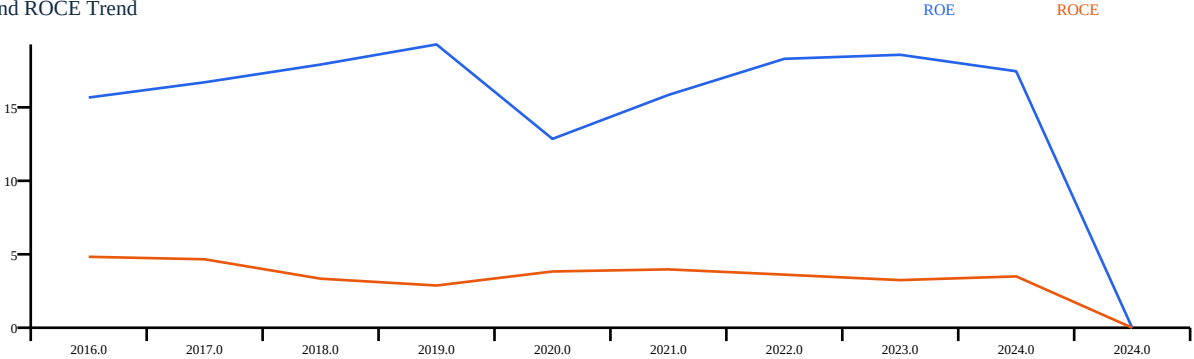
Revenue



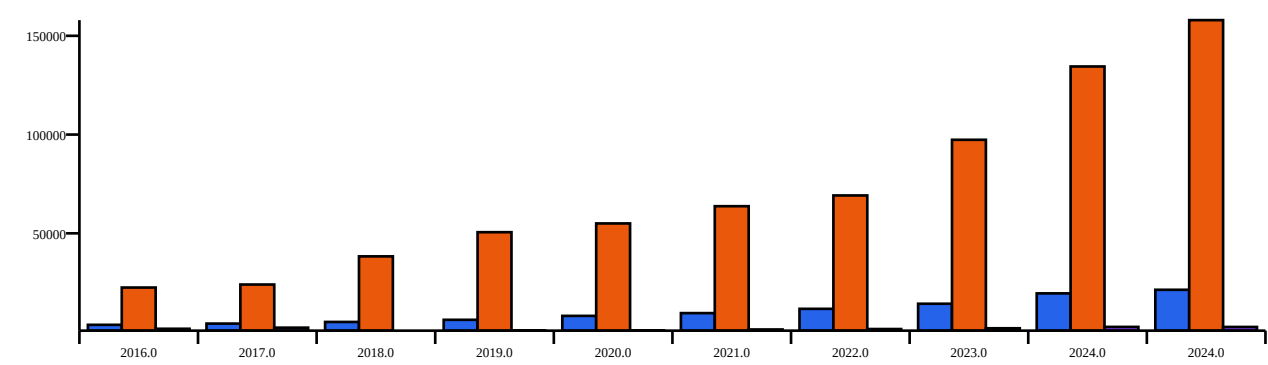
Net Profit



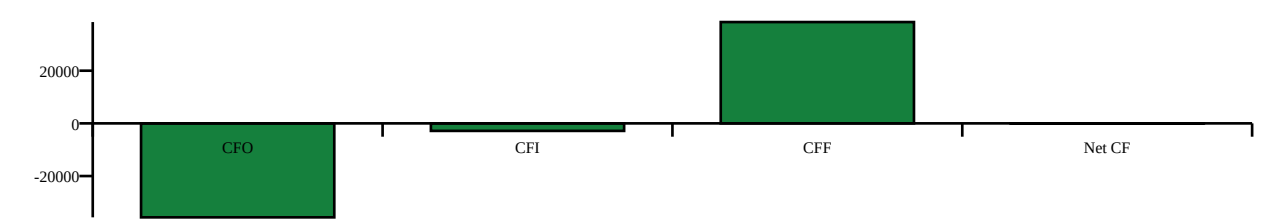
ROE and ROCE Trend



Balance Sheet Composition



Latest Year Cash Flow



Pros	Cons
• Very high interest coverage ratio reflects negligible financial stress from debt servicing • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum • Net profit compounding at above 20% over 5 years creates significant shareholder value • Operating profit margin above 25% indicates strong pricing power and cost discipline	• Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility • Free cash flow negative for 3 consecutive years raises concern about cash generation quality • Operating margins declining for 3 consecutive years suggest pricing or cost pressure • Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation	Growth Funded by Debt
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